

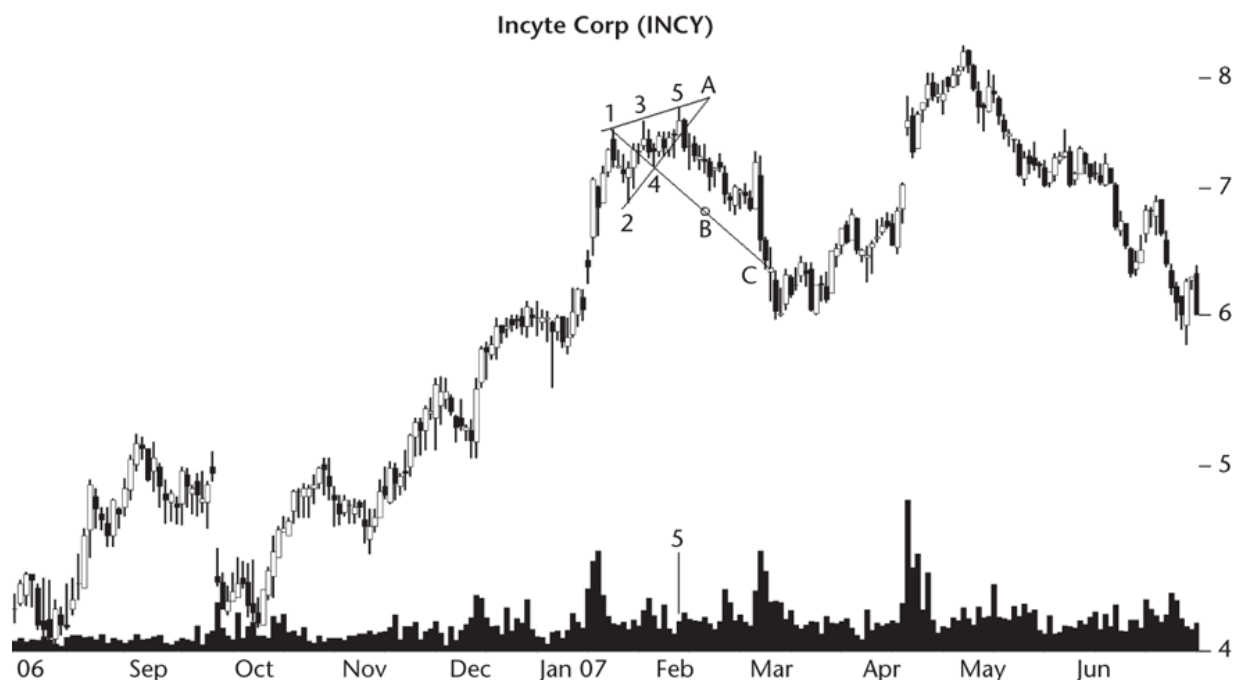


Figure 75.1 This Wolfe wave sees price drop but did not reach its target when it was expected.

Volume at turn 5 was not impressive. It was well below the prior three volume spikes that month. Wolfe writes that volume on turn 5 should be heavy, as if the bulls and bears are battling it out for control of the world. In this case, though, volume *was* higher at 5 than the day before but not the kind of spike you'd wish to see at turn 5. Nevertheless, the stock tumbled.

We've seen in triangle patterns that when the apex forms (like that shown at point A), it's often a turning point for the stock. The stock will reverse (form a minor high or low) almost directly above or below the apex (depending on the breakout direction). The stock may not change trend, and it often doesn't, but it *does* make a very short-term reversal.

In this case, the stock ignored the apex turn theory. I circled B on the line connecting points 1 and 4. Line 1–4 is called the EPA line (Estimate Price at Arrival). It's supposed to predict (with the apex) both the price and time of the decline. In other words, directly below the apex and matching line 1–4 (at B), the stock should have dropped that far. If it had, it would signal an exit.

From my experience looking at the pattern and reading Wolfe's description, the time element (the so-called “ETA” line, for Estimated Time of Arrival,